

Coefficient of variation compares relative spread

Same absolute STD, different scale.

Model A

1

2

3

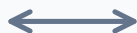
$$\mu = 2, \sigma = 1$$

$$CV = \sigma/\mu$$

$$1/2 = 50\%$$

HIGH

same σ



Model B

101

102

103

$$\mu = 102, \sigma = 1$$

$$CV = \sigma/\mu$$

$$1/102 \approx 1\%$$

LOW

$CV = \sigma/\mu$: same spread can be high or low variation depending on the mean.